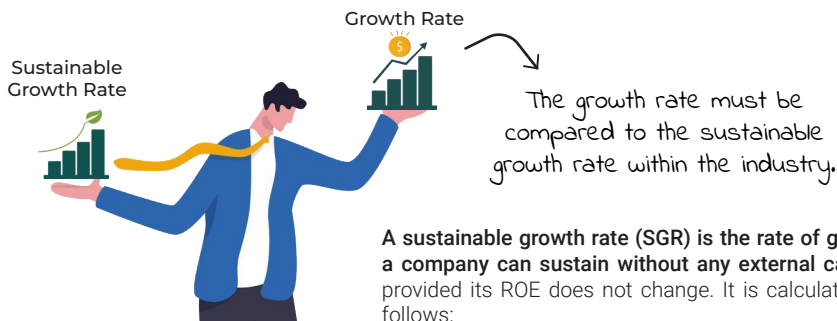


The cost of capital comprises 2 major parts, cost of equity and cost of debt. This method is technically termed as Weighted average cost of capital but let's not get too technical and focus on the basics.

Another important metric that shows the **quantitative performance of the industry** is the growth rate within the industry. Revenue growth rate and profit growth rate over time show the growth of various firms in the industry. They can indicate the overall behavior of the industry over time.

$$\text{Growth Rate} = \frac{(\text{Ending Value} - \text{Beginning Value})}{\text{Beginning Value}} \times 100$$



$$\text{SGR} = \text{ROE} (1 - \text{Dividend Payout Ratio})$$

Retention Ratio

$$\text{Dividend Payout Ratio} = \frac{\text{Total Dividend}}{\text{Net Income}}$$



if

ROE = 15%

Dividend Payout = 33%

SGR = 15%(1-0.33) = 10%

A company can grow beyond its sustainable growth rate continuously, either through the investment of new capital or by improving its ROE going forward. However, SGR analysis of the industry is affected by the dividend payout strategies of various firms. But it can give an overall understanding of growth in the industry and the need for external capital for such growth.